housing finance as an independent component was likely to succeed in the long run. It would be necessary to foster the growth of the housing sector by providing easy access to capital markets and financial sector savings. The solution to the housing problem lay not in merely maximizing the production of housing units but in addressing the aspects of affordability and appropriateness of the housing produced. The element that bound these forces together, according to Parekh, was responsiveness: responsiveness to family budget constraints, to traditional life-styles, to economic potentials, to creativity, to the multiplication of choice. Parekh believed with pardonably pride that HDFC's own success was based largely on its responsiveness to the environment, to the constituents it served (savers, lenders, and borrowers), and to the sector as a whole.[33]

The first decade of HDFC's existence coincided with a very eventful period in the history of Indian financial markets. New institutions were created, new instruments introduced, and new service organizations established. The stock market and new issues markets passed through a stormy period. With remarkable prescience, Parekh in his Chairman's speech had advocated the setting up of a stockholding corporation, a credit rating agency, and a securities exchange board for improving efficiency of the markets. He also noted that the successful launching of different mutual funds were indication enough that a large amount of savings with households was waiting to be tapped.[34]

In a short span of eleven years, HDFC had traveled far. It provided finance to over 2.5 lakh dwelling units and crossed the level of ₹1,000 crore of sanctioned loans, largely to individuals. It had eighteen branches all over the country and its annual growth rate in recent years exceeded 25 percent. Its record of recovery of loans was also enviable—a reflection of the great deal of effort put in and of effective organization and procedures. Deepak recalls that the service approach was ingrained in all of them. If they were having a sandwich lunch and even one customer walked in, they dropped their sandwich and ran out to serve him. The idea was to provide the best service and not get complacent or become arrogant since for the first ten years they were the only housing finance company. One of those who came to HDFC for a loan was Infosys Technologies founder N.R. Narayana Murthy who walked in to Ramon House (the HDFC head-office in